

Exercise in Demand Curve

1. Suppose tickets for football and handball matches are substitute goods. What would happen to demand for football games if the price for the handball games that take place on the same time would be reduced?
2. Suppose that sports pay per view programs can be defined as a normal good. What would happen to demand for these programs if national income increases?
3. Suppose an inferior good X. What should happen to its demand in case of an increased income?
4. Suppose the following demand function: $Q^D = 9 - p$, where Q^D is the quantity demanded of a good and p is the price of a good in USD.
 - a. What would be the quantity demanded if the price is 1 USD?
 - b. What would be the quantity demanded if the price is 8 USD?
 - c. Suppose that the price is 3USD. What is consumer surplus?
5. Suppose the following demand function of a representative customer: $Q^D = 15 - 2p$, where Q^D is the quantity demanded of a good and p is the price of a good in USD. Suppose there are 10 such customers. What is the aggregate demand?
6. Suppose an inelastic good X. Now suppose that the price of that good has increased. What will happen to the total revenues of the suppliers?